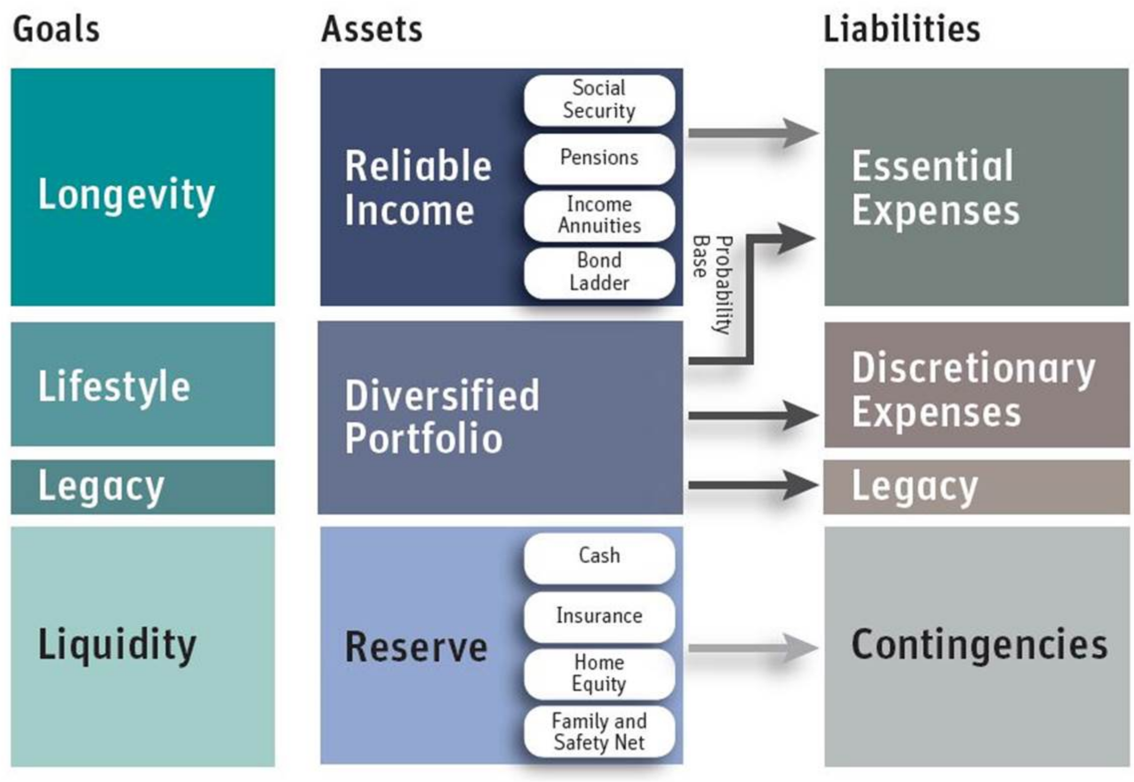

Ultimately, I believe Exhibit 1.6 provides a proper summary of how to approach the retirement income problem. This exhibit draws on attributes from the safety-first approach to consider the entire retirement balance sheet and to match assets and liabilities. It is most inspired by ideas found within Modern Retirement Theory, the household balance sheet view, funded ratio management, and product allocation. At the same time, this approach is not overly regimented and includes both probability-based and safety-first plans, as the relative sizes of the reliable income and diversified portfolio boxes can be adjusted to create a plan that meets the psychological needs of the individual implementing it.

The remainder of this book is about implementing the probability-based approach in practice. This book is relevant for those who plan to fund their retirements using an investment portfolio, and who are hesitant about using income annuities or other insurance products. I will explore the safety-first approach more extensively in a later volume to be published as part of the Retirement Researcher’s Guide Series.

Further Reading